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4. Depreciation provided on machinery is debited to
   (a) Depreciation account
   (b) Machinery account
   (c) Trading account
   (d) Provision for depreciation account
5. Cash received from sale of fixed asset is credited to
   (a) Profit and loss account
   (b) Fixed asset account
   (c) Depreciation account
   (d) Bank account
6. Depreciation is provided on
   (a) Fixed assets
   (b) Current assets
   (c) Outstanding charges
   (d) All assets
7. Depreciation is caused by
   (a) Lapse of time (b) Usage
   (c) Obsolescence (d) a, b and c
8. Depreciation is the process of
   (a) Allocation of cost of the asset to the period of its useful life
   (b) Valuation of assets
   (c) Maintenance of an asset in a state of efficiency
   (d) Adding value to the asset
9. For which of the following assets, the depletion method is adopted for writing off cost of the asset?
   (a) Plant and machinery (b) Mines and quarries
   (c) Buildings (d) Trademark
10. A depreciable asset may suffer obsolescence due to____
   (a) Passage of time (b) Wear and tear
   (c) Technological changes (d) None of the above.
11. Which method shall be efficient, if repairs and maintenance cost of an asset increases as it grows older.
   (a) Straight line method (b) Reducing balance method
   (c) Sinking fund method (d) Annuity method